Indosat-Hutch

3Q results: Rev/EBITDA miss but ARPU grows & commitment to a better 4Q. Buy.

Reiterate Rating: BUY | PO: 2,300 IDR | Price: 1,905 IDR

3Q25 misses slightly but FY guidance maintained

Indosat's 3Q revenue/EBITDA slightly missed our estimates by 2%/6% on weaker MIDI revenue growth vs. expectation, and higher G&A costs, driven by professional fees. Net income also missed by 2% (+9% yoy/+22% qoq) on EBITDA miss, partially offset by lower depreciation and tax outlay. Cost of services was in-line with our estimate, but higher sequentially (+8% yoy/+4% qoq) mainly on higher installation costs – mgmt. shared is related to higher MIDI/VAS revenues. While 9M25 revenue/EBITDA are tracking -2%/-3% yoy - mgmt. maintained FY25 EBITDA low single digit growth guidance – which we believe is achievable but translates to a strong 4Q with low double digit qoq EBITDA growth. We are building revenue/EBITDA growth of 6%/11% qoq in 4Q, to drive FY25 flat revenues/1% yoy EBITDA growth. Operating highlights: 1) Blended ARPU grew 4% qoq/8% yoy to IDR40K 2) Subscribers declined slightly with SIM consolidation impact on prepaid; 3) Data traffic grew 11% yoy /5% qoq

GPUaaS revenues + cellular repair should drive 4Q growth

Mgmt. is confident of achieving their target of USD30-35mn (IDR500-550bn) revenue contribution from the GPUaaS for the FY, with majority coming in 4Q, and they expect FY26 contribution at USD65-70bn, with c. 20 customer contracts. Mgmt. is also confident on strong cellular recovery to continue in 4Q – with lower value customers seen optimizing, and good turnaround on the postpaid side. Given this is a higher margin business, the strong cellular growth along with continued cost optimization is expected to drive margin growth in 4Q.

Reit. Buy – upside potential outweighs negatives

While 3Q nos. slightly missed our estimates, we believe key positives ahead are i) lower competition and more stable macro and ii) further ARPU growth expected in 4Q with clean-up of lower value plans and subs. We believe the high likelihood of management delivering on their guidance is also a positive for the share price – and maintain our Buy rating with an unchanged PO of IDR2,300. We slightly tweak our numbers for ISAT post results, for slightly lower FY margins, post a 3Q miss, we cut our FY25-27E EPS by 1% on average, but PO remains unchanged as we roll-forward our DCF.

Estimates (Dec) (Rp)	2023A	2024A	2025E	2026E	2027E
Net Income (Adjusted - mn)	4,506,398	4,910,828	5,201,181	6,103,456	6,841,949
EPS	139.73	152.27	161.27	189.25	212.15
EPS Change (YoY)	-36%	9%	6%	17%	12%
Dividend / Share	65.74	83.30	104.83	132.47	148.50
Free Cash Flow / Share	151.86	283.97	307.95	348.04	344.74
Valuation (Dec)					
P/E	13.63x	12.51x	11.81x	10.07x	8.98x
Dividend Yield	3.45%	4.37%	5.50%	6.95%	7.80%
EV / EBITDA*	4.33x	3.93x	3.91x	3.65x	3.53x
Free Cash Flow Yield*	7.97%	14.91%	16.17%	18.27%	18.10%

* For full definitions of *iQmethod*SM measures, see page 5.

30 October 2025

Equity

Key Changes

(Rp)	Previous	Current
2025E Rev (m)	57,047,397	56,116,859
2026E Rev (m)	58,936,201	59,187,421
2027E Rev (m)	60,567,325	61,038,333
2025E EPS	162.5	161.3
2026E EPS	192.8	189.2
2027E EPS	214.4	212.1

Sukriti Bansal >>
Research Analyst
Merrill Lynch (Singapore)
+65 6678 0454
sukriti.bansal@bofa.com

Stock Data

Price	1,905 IDR
Price Objective	2,300 IDR
Date Established	25-Apr-2025
Investment Opinion	C-1-7
52-Week Range	1,240 IDR-2,640 IDR
Mrkt Val / Shares Out (mn)	3,700 USD / 32,250.8
Market Value (mn)	61,437,795 IDR
Average Daily Value (mn)	2.22 USD
Free Float	16.4%
BofA Ticker / Exchange	PTITF / JKT
Bloomberg / Reuters	ISAT IJ / ISAT.JK
ROE (2025E)	15.0%
Net Dbt to Eqty (Dec-2024A)	122.3%

MIDI: Multimedia, Dat, & Internet

VAS: Value Added Service

G&A: General & Administrative

ARPU: Average revneue per user

GPUaaS: Graphic processing unit-as-a-service

>> Employed by a non-US affiliate of BofAS and is not registered/qualified as a research analyst under the FINRA rules.
Refer to "Other Important Disclosures" for information on certain BofA Securities entities that take responsibility for the information herein in particular jurisdictions.
BofA Securities does and seeks to do business with issuers covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.
Refer to important disclosures on page 6 to 8. Analyst Certification on page 4. Price Objective Basis/Risk on page 4.
12893706
Timestamp: 29 October 2025 01:20PM EDT
This document is being provided for the exclusive use of YUKI HATA at TOKIO MARINE ASSET MANAGEMENT CO.,LTD.
CB

iQprofile℠ Indosat-Hutch

Key Income Statement Data (Dec)	2023A	2024A	2025E	2026E	2027E
(Rp Millions)					
Sales	51,228,787	55,886,870	56,116,859	59,187,421	61,038,333
Gross Profit	30,143,907	33,146,575	32,388,326	34,456,464	35,631,650
Sell General & Admin Expense	(6,205,938)	(6,771,527)	(5,841,998)	(6,043,281)	(6,232,267)
Operating Profit	9,316,809	10,816,600	10,777,491	12,491,767	13,468,378
Net Interest & Other Income	(3,313,211)	(4,002,002)	(3,883,487)	(4,090,673)	(4,050,787)
Associates	(72,007)	(82,073)	0	0	0
Pretax Income	5,931,591	6,732,525	6,894,004	8,401,093	9,417,591
Tax (expense) / Benefit	(1,155,843)	(1,460,113)	(1,309,861)	(1,848,241)	(2,071,870)
Net Income (Adjusted)	4,506,398	4,910,828	5,201,181	6,103,456	6,841,949
Average Fully Diluted Shares Outstanding	32,251	32,251	32,251	32,251	32,251
Key Cash Flow Statement Data					
Net Income	4,506,398	4,910,828	5,201,181	6,103,456	6,841,949
Depreciation & Amortization	14,621,160	15,558,448	15,768,837	15,921,416	15,931,005
Change in Working Capital	5,961,606	(1,963,997)	1,213,318	2,106,704	1,663,099
Deferred Taxation Charge	(140,081)	282,577	206,820	504,066	565,055
Other Adjustments, Net	(7,268,598)	308,230	728,936	498,125	491,510
Cash Flow from Operations	17,680,485	19,096,086	23,119,091	25,133,766	25,492,618
Capital Expenditure	(12,783,000)	(9,937,900)	(13,187,462)	(13,909,044)	(14,374,527)
(Acquisition) / Disposal of Investments	NA	NA	NA	NA	NA
Other Cash Inflow / (Outflow)	2,011,811	(2,526,904)	0	0	0
Cash Flow from Investing	(10,771,189)	(12,464,804)	(13,187,462)	(13,909,044)	(14,374,527)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(2,061,404)	(2,120,168)	(2,686,493)	(3,380,768)	(4,272,419)
Cash Flow from Financing	(11,111,022)	(7,380,381)	(2,686,493)	(3,380,768)	(4,272,419)
Free Cash Flow	4,897,485	9,158,186	9,931,630	11,224,722	11,118,091
Net Debt	44,354,654	44,836,223	37,445,074	29,601,120	22,755,448
Change in Net Debt	(2,318,533)	749,099	(7,245,137)	(7,843,954)	(6,845,672)
Key Balance Sheet Data					
Property, Plant & Equipment	72,860,819	74,143,085	71,561,710	69,549,337	67,992,860
Other Non-Current Assets	26,381,771	25,365,938	24,813,145	24,260,352	23,707,559
Trade Receivables	3,143,782	3,281,932	2,459,917	2,594,517	2,508,425
Cash & Equivalents	5,189,573	4,454,098	11,699,235	19,543,189	26,388,861
Other Current Assets	7,146,305	7,141,645	7,134,840	7,137,586	7,104,634
Total Assets	114,722,250	114,386,698	117,668,846	123,084,982	127,702,338
Long-Term Debt	45,275,075	45,421,087	45,275,075	45,275,075	45,275,075
Other Non-Current Liabilities	1,604,035	1,304,769	1,450,450	1,450,450	1,450,450
Short-Term Debt	4,269,152	3,869,234	3,869,234	3,869,234	3,869,234
Other Current Liabilities	29,865,188	27,139,811	27,524,308	29,768,358	31,312,412
Total Liabilities	81,013,450	77,734,901	78,119,067	80,363,117	81,907,171
Total Equity	33,708,790	36,651,797	39,549,448	42,721,533	45,794,835
Total Equity & Liabilities	114,722,240	114,386,698	117,668,515	123,084,651	127,702,007
iQ*method℠ - Bus Performance					
Return On Capital Employed	9.3%	10.2%	10.0%	10.9%	11.4%
Return On Equity	15.3%	15.3%	15.0%	16.3%	17.1%
Operating Margin	18.2%	19.4%	19.2%	21.1%	22.1%
EBITDA Margin	46.7%	47.2%	47.3%	48.0%	48.2%
iQ*method℠ - Quality of Earnings					
Cash Realization Ratio	3.9x	3.9x	4.4x	4.1x	3.7x
Asset Replacement Ratio	0.9x	0.6x	0.8x	0.9x	0.9x
Tax Rate (Reported)	19.5%	21.7%	19.0%	22.0%	22.0%
Net Debt-to-Equity Ratio	131.6%	122.3%	94.7%	69.3%	49.7%
Interest Cover	2.0x	2.4x	2.4x	2.8x	3.0x

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 5.

Company Sector

Telecom Services-Wireless/Cellular

Company Description

Indosat-Hutch is the second largest telecom player in Indonesia with c. 30% revenue market share. It was formed with the merger of Indosat Ooredoo and Hutchison 3 Indonesia in January 2022. The merged entity has 33% stake owned by each Ooredoo Group and CK Hutchison Holdings.

Investment Rationale

We have a Buy rating on Indosat-Hutch (IOH) as we believe the company has ability to surprise on i) higher than industry ARPU growth through expansion in ex-Java and higher value add services ii) margin improvement through operating leverage as it scales iii) stronger spectrum position as it participates in upcoming auctions with strong balance sheet

Stock Data

Price to Book Value	1.7x

This document is being provided for the exclusive use of YUKI HATA at TOKIO MARINE ASSET MANAGEMENT CO LTD.

CB

ISAT 3Q25 results analysis

Exhibit 1: Slight beat on headline numbers, but ARPU and data growth surprise positively
ISAT quarterly results variance analysis

ISAT - consolidated financials							
IDR bn (except per share data)	3Q24	2Q25	3Q25E	3Q25A	YoY	QoQ	A vs E
Cellular	11,634	11,328	11,983	11,808	1%	4%	-1%
MIDI	1,991	2,000	2,190	2,039	2%	2%	-7%
Fixed	211	204	205	206	-3%	1%	0%
Total Revenue	**13,836**	**13,532**	**14,378**	**14,052**	**2%**	**4%**	**-2%**
Cost of Services	5,596	5,824	6,067	6,061	8%	4%	0%
Personnel	980	695	805	814	-17%	17%	1%
Marketing	472	380	417	404	-14%	6%	-3%
G&A	199	192	216	280	40%	46%	30%
Total Expenses	**7,247**	**7,091**	**7,505**	**7,559**	**4%**	**7%**	**1%**
EBITDA	**6,588**	**6,440**	**6,872**	**6,493**	**-1%**	**1%**	**-6%**
% Margin	47.6%	47.6%	47.8%	46.2%	-1.4 pps	-1.4 pps	-1.6 pps
D&A	3,872	4,044	4,065	3,913	1%	-3%	-4%
EBIT	2,716	2,396	2,808	2,580	-5%	8%	-8%
Total other inc (exp) net	(1,139)	(1,071)	(1,065)	(917)	-20%	-14%	-14%
Profit Before Tax	**1,577**	**1,325**	**1,742**	**1,663**	**5%**	**26%**	**-5%**
Tax	(342)	(224)	(383)	(333)	-3%	48%	-13%
Effective Tax Rate	22%	17%	22%	20%	-1.7 pps	3.1 pps	-2 pps
Minority interest	(91)	(77)	(77)	(79)	-13%	2%	2%
Net income	**1,144**	**1,024**	**1,282**	**1,252**	**9%**	**22%**	**-2%**
Wireless - key metrics							
Operating Metrics	3Q24	2Q25	3Q25E	3Q25A	YoY	QoQ	A vs E
Total subs	**98,700**	**95,400**	**95,490**	**94,900**	**-4%**	**-1%**	**-1%**
Net adds	(1,305)	-5,400	90	(500)			
Blended ARPU (Reported)	37,200	38,500	39,149	40,000	7.5%	4%	2%
Data usage (TB)	4,085,000	4,327,000	4,166,700	4,532,000	11%	5%	9%

Source: Company data, BofA Global Research estimates

BofA GLOBAL RESEARCH

This document is being provided for the exclusive use of YUKI HATA at TOKIO MARINE ASSET MANAGEMENT CO LTD.

CB

Price objective basis & risk

Indosat-Hutch (PTITF)

Our price objective of Rp2,300 is set using a Discounted Cash Flow Method (DCF). Assumptions in our DCF are driven by a risk free rate of 7.0%, a beta of 1.1x, to derive a WACC of 14.3% and we use a 2.0% terminal growth rate.

Downside risks to our price objective are: 1) material pick-up in competitive intensity, resulting in weaker-than-expected revenue, EBITDA, and earnings growth, and 2) weaker uptake of new initiatives such as GPUaaS offering

Analyst Certification

I, Sukriti Bansal, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Telecommunications Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	3BB Internet Infra Fund	XJBIF	3BBIF TB	Chotipat Leksakul
	Advanced Info	AVIZF	ADVANC TB	Thitithep Nophaket
	Bharti Airtel	BHTIF	BHARTI IN	Sachin Salgaonkar
	Converge ICT	XLERF	CNVRG PM	Jojo Gonzales
	Digital Telecommunications Infra Fund	TTCFF	DIF TB	Chotipat Leksakul
	Far EasTone	FEOTF	4904 TT	Yoyo Pang
	GDS Holdings	GDS	GDS US	Daley Li, CFA
	GDS Holdings	XMJFF	9698 HK	Daley Li, CFA
	Indosat-Hutch	PTITF	ISAT IJ	Sukriti Bansal
	KT	KTCNF	030200 KS	Sun Jung Lee
	KT	KT	KT US	Sun Jung Lee
	LG Uplus	LTCLF	032640 KS	Sun Jung Lee
	NextDC Limited	NXDCF	NXT AU	Ware Kuo
	PLDT	PHTCF	TEL PM	Jojo Gonzales
	PLDT -A	PHI	PHI US	Jojo Gonzales
	Singtel	SNGNF	ST SP	Sukriti Bansal
	Telstra Group	TTRAF	TLS AU	Ware Kuo
	Telstra Group-A	TLGPY	TLGPY US	Ware Kuo
	TPG Telecom	TPGTF	TPG AU	Ware Kuo
	True Corporation	XTPCF	TRUE TB	Thitithep Nophaket
	VNET Group	VNET	VNET US	Daley Li, CFA
NEUTRAL				
	BrainBees Solutions (FirstCry)	XZSQF	FIRSTCRY IN	Sachin Salgaonkar
	Chunghwa Telecom	CHWAF	2412 TT	Yoyo Pang
	Chunghwa Telecom	CHT	CHT US	Yoyo Pang
	Megaport Ltd	MGPPF	MP1 AU	Ware Kuo
	PT Telkom	TLKMF	TLKM IJ	Sukriti Bansal
	PT Telkom	TLK	TLK US	Sukriti Bansal
	SK Telecom	SKMTF	017670 KS	Sun Jung Lee
	SK Telecom	SKM	SKM US	Sun Jung Lee
	Spark New Zealand Ltd	NZTCF	SPK NZ	Ware Kuo
	Spark New Zealand Ltd.-SP ADR	SPKKY	SPKKY US	Ware Kuo
	Swiggy	XPDWF	SWIGGY IN	Sachin Salgaonkar
	Taiwan Mobile	TWMBF	3045 TT	Yoyo Pang
UNDERPERFORM				
	Axiata	AXXTF	AXIATA MK	Sukriti Bansal
	CelcomDigi	DIGBF	CDB MK	Sukriti Bansal
	Globe Telecom	GTMEF	GLO PM	Sukriti Bansal
	Indus Towers	XYYAF	INDUSTOW IN	Sachin Salgaonkar
	Vodafone Idea	IDEAF	IDEA IN	Sachin Salgaonkar
	XL Axiata	PTXAF	EXCL IJ	Sukriti Bansal

This document is being provided for the exclusive use of YUKI HATA at TOKIO MARINE ASSET MANAGEMENT CO LTD.

CB

APR - Telecommunications Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

iQmethod℠ is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

iQdatabase® is our real-time global research database that is sourced directly from our equity analysts' earnings models and includes forecasted as well as historical data for income statements, balance sheets, and cash flow statements for companies covered by BofA Global Research.

iQprofile℠, *iQmethod℠* are service marks of Bank of America Corporation. *iQdatabase®* is a registered service mark of Bank of America Corporation.

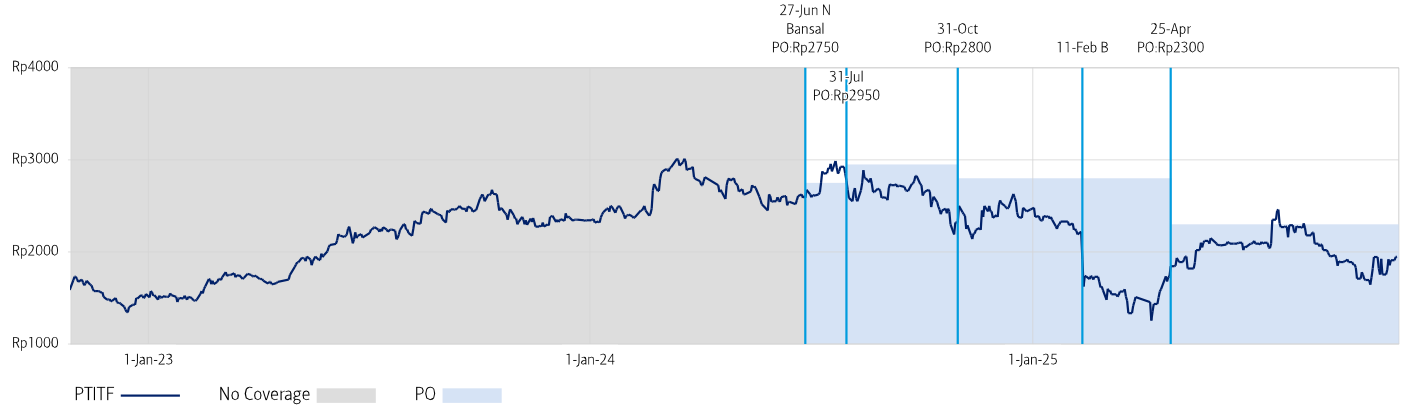
This document is being provided for the exclusive use of YUKI HATA at TOKIO MARINE ASSET MANAGEMENT CO LTD.

CB

Disclosures

Important Disclosures

Indosat (PTITF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Telecommunications Group (as of 30 Sep 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	56	53.85%	Buy	40	71.43%
Hold	26	25.00%	Hold	15	57.69%
Sell	22	21.15%	Sell	12	54.55%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	1816	53.11%	Buy	1062	58.48%
Hold	825	24.13%	Hold	480	58.18%
Sell	778	22.76%	Sell	385	49.49%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

FUNDAMENTAL EQUITY OPINION KEY: Opinions include a Volatility Risk Rating, an Investment Rating and an Income Rating. VOLATILITY RISK RATINGS, indicators of potential price fluctuation, are: A - Low, B - Medium and C - High. INVESTMENT RATINGS reflect the analyst's assessment of both a stock's absolute total return potential as well as its attractiveness for investment relative to other stocks within its Coverage Cluster (defined below). Our investment ratings are: 1 - Buy stocks are expected to have a total return of at least 10% and are the most attractive stocks in the coverage cluster; 2 - Neutral stocks are expected to remain flat or increase in value and are less attractive than Buy rated stocks and 3 - Underperform stocks are the least attractive stocks in a coverage cluster. An investment rating of 6 (No Rating) indicates that a stock is no longer trading on the basis of fundamentals. Analysts assign investment ratings considering, among other things, the 0-12 month total return expectation for a stock and the firm's guidelines for ratings dispersions (shown in the table below). The current price objective for a stock should be referenced to better understand the total return expectation at any given time. The price objective reflects the analyst's view of the potential price appreciation (depreciation).

Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

INCOME RATINGS, indicators of potential cash dividends, are: 7 - same/higher (dividend considered to be secure), 8 - same/lower (dividend not considered to be secure) and 9 - pays no cash dividend. *Coverage Cluster* is comprised of stocks covered by a single analyst or two or more analysts sharing a common industry, sector, region or other classification(s). A stock's coverage cluster is included in the most recent BofA Global Research report referencing the stock.

Price Charts for the securities referenced in this research report are available on the Price Charts website, or call 1-800-MERRILL to have them mailed.
The issuer is or was, within the last 12 months, an investment banking client of BofAS and/or one or more of its affiliates: Indosat.
BofAS or an affiliate has received compensation from the issuer for non-investment banking services or products within the past 12 months: Indosat.
The issuer is or was, within the last 12 months, a non-securities business client of BofAS and/or one or more of its affiliates: Indosat.
In the US, retail sales and/or distribution of this report may be made only in states where these securities are exempt from registration or have been qualified for sale: Indosat.
BofAS or an affiliate expects to receive or intends to seek compensation for investment banking services from this issuer or an affiliate of the issuer within the next three months: Indosat.
The issuer is or was, within the last 12 months, a securities business client (non-investment banking) of BofAS and/or one or more of its affiliates: Indosat.
BofA Global Research personnel (including the analyst(s) responsible for this report) receive compensation based upon, among other factors, the overall profitability of Bank of America Corporation, including profits derived from investment banking. The analyst(s) responsible for this report may also receive compensation based upon, among other factors, the overall profitability of the Bank's sales and trading businesses relating to the class of securities or financial instruments for which such analyst is responsible.

This document is being provided for the exclusive use of YUKI HATA at TOKIO MARINE ASSET MANAGEMENT CO LTD.

CB

Other Important Disclosures

From time to time research analysts conduct site visits of covered issuers. BofA Global Research policies prohibit research analysts from accepting payment or reimbursement for travel expenses from the issuer for such visits.
Prices are indicative and for information purposes only. Except as otherwise stated in the report, for any recommendation in relation to an equity security, the price referenced is the publicly traded price of the security as of close of business on the day prior to the date of the report or, if the report is published during intraday trading, the price referenced is indicative of the traded price as of the date and time of the report and in relation to a debt security (including equity preferred and CDS), prices are indicative as of the date and time of the report and are from various sources including BofA Securities trading desks.
The date and time of completion of the production of any recommendation in this report shall be the date and time of dissemination of this report as recorded in the report timestamp.

Recipients who are not institutional investors or market professionals should seek the advice of their independent financial advisor before considering information in this report in connection with any investment decision, or for a necessary explanation of its contents.
Officers of BofAS or one or more of its affiliates (other than research analysts) may have a financial interest in securities of the issuer(s) or in related investments.
Refer to BofA Global Research policies relating to conflicts of interest.
"BofA Securities" includes BofA Securities, Inc. ("BofAS") and its affiliates. Investors should contact their BofA Securities representative or Merrill Global Wealth Management financial advisor if they have questions concerning this report or concerning the appropriateness of any investment idea described herein for such investor. "BofA Securities" is a global brand for BofA Global Research.
Information relating to Non-US affiliates of BofA Securities and Distribution of Affiliate Research Reports:
BofAS and/or Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S") may in the future distribute, information of the following non-US affiliates in the US (short name: legal name, regulator): Merrill Lynch (South Africa): Merrill Lynch South Africa (Pty) Ltd., regulated by the Financial Sector Conduct Authority; MLI (UK): Merrill Lynch International, regulated by the Financial Conduct Authority (FCA) and the Prudential Regulation Authority (PRA); BofASE (France): BofA Securities Europe SA is authorized by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers (AMF). BofA Securities Europe SA ("BofASE") with registered address at 51, rue La Boétie, 75008 Paris is registered under no 842 602 690 RCS Paris. In accordance with the provisions of French Code Monétaire et Financier (Monetary and Financial Code), BofASE is an établissement de crédit et d'investissement (credit and investment institution) that is authorised and supervised by the European Central Bank and the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers. BofASE's share capital can be found at www.bofaml.com/BofASEdisclaimer; BofA Europe (Milan): Bank of America Europe Designated Activity Company, Milan Branch, regulated by the Bank of Italy, the European Central Bank (ECB) and the Central Bank of Ireland (CBI); BofA Europe (Frankfurt): Bank of America Europe Designated Activity Company, Frankfurt Branch regulated by BaFin, the ECB and the CBI; BofA Europe (Madrid): Bank of America Europe Designated Activity Company, Sucursal en España, regulated by the Bank of Spain, the ECB and the CBI; Merrill Lynch (Australia): Merrill Lynch Equities (Australia) Limited, regulated by the Australian Securities and Investments Commission; Merrill Lynch (Hong Kong): Merrill Lynch (Asia Pacific) Limited, regulated by the Hong Kong Securities and Futures Commission (HKSFC); Merrill Lynch (Singapore): Merrill Lynch (Singapore) Pte Ltd, regulated by the Monetary Authority of Singapore (MAS); Merrill Lynch (Canada): Merrill Lynch Canada Inc, regulated by the Canadian Investment Regulatory Organization; Merrill Lynch (Mexico): Merrill Lynch Mexico, SA de CV, Casa de Bolsa, regulated by the Comisión Nacional Bancaria y de Valores; BofAS Japan: BofA Securities Japan Co., Ltd., regulated by the Financial Services Agency; Merrill Lynch (Seoul): Merrill Lynch International, LLC Seoul Branch, regulated by the Financial Supervisory Service; Merrill Lynch (Taiwan): Merrill Lynch Securities (Taiwan) Ltd., regulated by the Securities and Futures Bureau; BofAS India: BofA Securities India Limited, regulated by the Securities and Exchange Board of India (SEBI); Merrill Lynch (Israel): Merrill Lynch Israel Limited, regulated by Israel Securities Authority; Merrill Lynch (DIFC): Merrill Lynch International (DIFC Branch), regulated by the Dubai Financial Services Authority (DFSA); Merrill Lynch (Brazil): Merrill Lynch S.A. Corretora de Títulos e Valores Mobiliários, regulated by Comissão de Valores Mobiliários; Merrill Lynch KSA Company: Merrill Lynch Kingdom of Saudi Arabia Company, regulated by the Capital Market Authority.
This information: has been approved for publication and is distributed in the United Kingdom (UK) to professional clients and eligible counterparties (as each is defined in the rules of the FCA and the PRA) by MLI (UK), which is authorized by the PRA and regulated by the FCA and the PRA - details about the extent of our regulation by the FCA and PRA are available from us on request; has been approved for publication and is distributed in the European Economic Area (EEA) by BofASE (France), which is authorized by the ACPR and regulated by the ACPR and the AMF; has been considered and distributed in Japan by BofAS Japan, a registered securities dealer under the Financial Instruments and Exchange Act in Japan, or its permitted affiliates; is issued and distributed in Hong Kong by Merrill Lynch (Hong Kong) which is regulated by HKSFC; is issued and distributed in Taiwan by Merrill Lynch (Taiwan); is issued and distributed in India by BofAS India; and is issued and distributed in Singapore to institutional investors and/or accredited investors (each as defined under the Financial Advisers Regulations) by Merrill Lynch (Singapore) (Company Registration No 198602883D). Merrill Lynch (Singapore) is regulated by MAS. Merrill Lynch Equities (Australia) Limited (ABN 65 006 276 795), AFS License 235132 (MLEA) distributes this information in Australia only to 'Wholesale' clients as defined by s.761G of the Corporations Act 2001. With the exception of Bank of America N.A., Australia Branch, neither MLEA nor any of its affiliates involved in preparing this information is an Authorised Deposit-Taking Institution under the Banking Act 1959 nor regulated by the Australian Prudential Regulation Authority. No approval is required for publication or distribution of this information in Brazil and its local distribution is by Merrill Lynch (Brazil) in accordance with applicable regulations. Merrill Lynch (DIFC) is authorized and regulated by the DFSA. Information prepared and issued by Merrill Lynch (DIFC) is done so in accordance with the requirements of the DFSA conduct of business rules. BofA Europe (Frankfurt) distributes this information in Germany and is regulated by BaFin, the ECB and the CBI. BofA Securities entities, including BofA Europe and BofASE (France), may outsource/delegate the marketing and/or provision of certain research services or aspects of research services to other branches or members of the BofA Securities group. You may be contacted by a different BofA Securities entity acting for and on behalf of your service provider where permitted by applicable law. This does not change your service provider. Please refer to the Electronic Communications Disclaimers for further information.
This information has been prepared and issued by BofAS and/or one or more of its non-US affiliates. The author(s) of this information may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so. BofAS and/or MLPF&S is the distributor of this information in the US and accepts full responsibility for information distributed to BofAS and/or MLPF&S clients in the US by its non-US affiliates. Any US person receiving this information and wishing to effect any transaction in any security discussed herein should do so through BofAS and/or MLPF&S and not such foreign affiliates. Hong Kong recipients of this information should contact Merrill Lynch (Asia Pacific) Limited in respect of any matters relating to dealing in securities or provision of specific advice on securities or any other matters arising from, or in connection with, this information. Singapore recipients of this information should contact Merrill Lynch (Singapore) Pte Ltd in respect of any matters arising from, or in connection with, this information. For clients that are not accredited investors, expert investors or institutional investors Merrill Lynch (Singapore) Pte Ltd accepts full responsibility for the contents of this information distributed to such clients in Singapore.
General Investment Related Disclosures:
Taiwan Readers: Neither the information nor any opinion expressed herein constitutes an offer or a solicitation of an offer to transact in any securities or other financial instrument. No part of this report may be used or reproduced or quoted in any manner whatsoever in Taiwan by the press or any other person without the express written consent of BofA Securities.
This document provides general information only, and has been prepared for, and is intended for general distribution to, BofA Securities clients. Neither the information nor any opinion expressed constitutes an offer or an invitation to make an offer, to buy or sell any securities or other financial instrument or any derivative related to such securities or instruments (e.g., options, futures, warrants, and contracts for differences). This document is not intended to provide personal investment advice and it does not take into account the specific investment objectives, financial situation and the particular needs of, and is not directed to, any specific person(s). This document and its content do not constitute, and should not be considered to constitute, investment advice for purposes of ERISA, the US tax code, the Investment Advisers Act or otherwise. Investors should seek financial advice regarding the appropriateness of investing in financial instruments and implementing investment strategies discussed or recommended in this document and should understand that statements regarding future prospects may not be realized. Any decision to purchase or subscribe for securities in any offering must be based solely on existing public information on such security or the information in the prospectus or other offering document issued in connection with such offering, and not on this document.
Securities and other financial instruments referred to herein, or recommended, offered or sold by BofA Securities, are not insured by the Federal Deposit Insurance Corporation and are not deposits or other obligations of any insured depository institution (including, Bank of America, N.A.). Investments in general and, derivatives, in particular, involve numerous risks, including, among others, market risk, counterparty default risk and liquidity risk. No security, financial instrument or derivative is suitable for all investors. Digital assets are extremely speculative, volatile and are largely unregulated. In some cases, securities and other financial instruments may be difficult to value or sell and reliable information about the value or risks related to the security or financial instrument may be difficult to obtain. Investors should note that income from such securities and other financial instruments, if any, may fluctuate and that price or value of such securities and instruments may rise or fall and, in some cases, investors may lose their entire principal investment. Past performance is not necessarily a guide to future performance. Levels and

This document is being provided for the exclusive use of YUKI HATA at TOKIO MARINE ASSET MANAGEMENT CO LTD.

CB

basis for taxation may change.
This report may contain a short-term trading idea or recommendation, which highlights a specific near-term catalyst or event impacting the issuer or the market that is anticipated to have a short-term price impact on the equity securities of the issuer. Short-term trading ideas and recommendations are different from and do not affect a stock's fundamental equity rating, which reflects both a longer term total return expectation and attractiveness for investment relative to other stocks within its Coverage Cluster. Short-term trading ideas and recommendations may be more or less positive than a stock's fundamental equity rating.
BofA Securities is aware that the implementation of the ideas expressed in this report may depend upon an investor's ability to "short" securities or other financial instruments and that such action may be limited by regulations prohibiting or restricting "shortselling" in many jurisdictions. Investors are urged to seek advice regarding the applicability of such regulations prior to executing any short idea contained in this report.
Foreign currency rates of exchange may adversely affect the value, price or income of any security or financial instrument mentioned herein. Investors in such securities and instruments, including ADRs, effectively assume currency risk.
BofAS or one of its affiliates is a regular issuer of traded financial instruments linked to securities that may have been recommended in this report. BofAS or one of its affiliates may, at any time, hold a trading position (long or short) in the securities and financial instruments discussed in this report.
BofA Securities, through business units other than BofA Global Research, may have issued and may in the future issue trading ideas or recommendations that are inconsistent with, and reach different conclusions from, the information presented herein. Such ideas or recommendations may reflect different time frames, assumptions, views and analytical methods of the persons who prepared them, and BofA Securities is under no obligation to ensure that such other trading ideas or recommendations are brought to the attention of any recipient of this information.
In the event that the recipient received this information pursuant to a contract between the recipient and BofAS for the provision of research services for a separate fee, and in connection therewith BofAS may be deemed to be acting as an investment adviser, such status relates, if at all, solely to the person with whom BofAS has contracted directly and does not extend beyond the delivery of this report (unless otherwise agreed specifically in writing by BofAS). If such recipient uses the services of BofAS in connection with the sale or purchase of a security referred to herein, BofAS may act as principal for its own account or as agent for another person. BofAS is and continues to act solely as a broker-dealer in connection with the execution of any transactions, including transactions in any securities referred to herein.

Copyright and General Information:
Copyright 2025 Bank of America Corporation. All rights reserved. iQdatabase® is a registered service mark of Bank of America Corporation. This information is prepared for the use of BofA Securities clients and may not be redistributed, retransmitted or disclosed, in whole or in part, or in any form or manner, without the express written consent of BofA Securities. This document and its content is provided solely for informational purposes and cannot be used for training or developing artificial intelligence (AI) models or as an input in any AI application (collectively, an AI tool). Any attempt to utilize this document or any of its content in connection with an AI tool without explicit written permission from BofA Global Research is strictly prohibited. BofA Global Research information is distributed simultaneously to internal and client websites and other portals by BofA Securities and is not publicly-available material. Any unauthorized use or disclosure is prohibited. Receipt and review of this information constitutes your agreement not to redistribute, retransmit, or disclose to others the contents, opinions, conclusion, or information contained herein (including any investment recommendations, estimates or price targets) without first obtaining express permission from an authorized officer of BofA Securities.
Materials prepared by BofA Global Research personnel are based on public information. Facts and views presented in this material have not been reviewed by, and may not reflect information known to, professionals in other business areas of BofA Securities, including investment banking personnel. BofA Securities has established information barriers between BofA Global Research and certain business groups. As a result, BofA Securities does not disclose certain client relationships with, or compensation received from, such issuers. To the extent this material discusses any legal proceeding or issues, it has not been prepared as nor is it intended to express any legal conclusion, opinion or advice. Investors should consult their own legal advisers as to issues of law relating to the subject matter of this material. BofA Global Research personnel's knowledge of legal proceedings in which any BofA Securities entity and/or its directors, officers and employees may be plaintiffs, defendants, co-defendants or co-plaintiffs with or involving issuers mentioned in this material is based on public information. Facts and views presented in this material that relate to any such proceedings have not been reviewed by, discussed with, and may not reflect information known to, professionals in other business areas of BofA Securities in connection with the legal proceedings or matters relevant to such proceedings.
This information has been prepared independently of any issuer of securities mentioned herein and not in connection with any proposed offering of securities or as agent of any issuer of any securities. None of BofAS any of its affiliates or their research analysts has any authority whatsoever to make any representation or warranty on behalf of the issuer(s). BofA Global Research policy prohibits research personnel from disclosing a recommendation, investment rating, or investment thesis for review by an issuer prior to the publication of a research report containing such rating, recommendation or investment thesis.
Any information relating to sustainability in this material is limited as discussed herein and is not intended to provide a comprehensive view on any sustainability claim with respect to any issuer or security.
Any information relating to the tax status of financial instruments discussed herein is not intended to provide tax advice or to be used by anyone to provide tax advice. Investors are urged to seek tax advice based on their particular circumstances from an independent tax professional.
The information herein (other than disclosure information relating to BofA Securities and its affiliates) was obtained from various sources and we do not guarantee its accuracy. This information may contain links to third-party websites. BofA Securities is not responsible for the content of any third-party website or any linked content contained in a third-party website. Content contained on such third-party websites is not part of this information and is not incorporated by reference. The inclusion of a link does not imply any endorsement by or any affiliation with BofA Securities. Access to any third-party website is at your own risk, and you should always review the terms and privacy policies at third-party websites before submitting any personal information to them. BofA Securities is not responsible for such terms and privacy policies and expressly disclaims any liability for them.
All opinions, projections and estimates constitute the judgment of the author as of the date of publication and are subject to change without notice. Prices also are subject to change without notice. BofA Securities is under no obligation to update this information and BofA Securities ability to publish information on the subject issuer(s) in the future is subject to applicable quiet periods. You should therefore assume that BofA Securities will not update any fact, circumstance or opinion contained herein.
Subject to the quiet period applicable under laws of the various jurisdictions in which we distribute research reports and other legal and BofA Securities policy-related restrictions on the publication of research reports, fundamental equity reports are produced on a regular basis as necessary to keep the investment recommendation current.
Certain outstanding reports or investment opinions relating to securities, financial instruments and/or issuers may no longer be current. Always refer to the most recent research report relating to an issuer prior to making an investment decision.
In some cases, an issuer may be classified as Restricted or may be Under Review or Extended Review. In each case, investors should consider any investment opinion relating to such issuer (or its security and/or financial instruments) to be suspended or withdrawn and should not rely on the analyses and investment opinion(s) pertaining to such issuer (or its securities and/or financial instruments) nor should the analyses or opinion(s) be considered a solicitation of any kind. Sales persons and financial advisors affiliated with BofAS or any of its affiliates may not solicit purchases of securities or financial instruments that are Restricted or Under Review and may only solicit securities under Extended Review in accordance with firm policies.
Neither BofA Securities nor any officer or employee of BofA Securities accepts any liability whatsoever for any direct, indirect or consequential damages or losses arising from any use of this information.

This document is being provided for the exclusive use of YUKI HATA at TOKIO MARINE ASSET MANAGEMENT CO LTD.
CB